

1 ENGROSSED HOUSE
2 BILL NO. 3024

By: Lowe and Archer of the
House

3 and

4 Kern of the Senate

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6
7 An Act relating to public finance; requiring cabinet
8 secretary approval for salary increases in excess of
9 specified percentage; imposing limitation on maximum
10 salary increases; requiring agencies to adopt rules
11 related to job performance; excluding certain
12 licensed professional persons from certain
13 restrictions; providing for applicability to certain
14 employee category; providing for inapplicability to
15 non-appropriated agencies; providing for
16 inapplicability to certain employee categories;
17 providing for codification; providing an effective
18 date; and declaring an emergency.

19 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20 SECTION 1. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 280.1 of Title 62, unless there
22 is created a duplication in numbering, reads as follows:

23 A. No executive branch agency shall increase the salary of a
24 state employee by more than ten percent (10%) with respect to any
fiscal year unless the cabinet secretary with jurisdiction over the
agency formally approves such increase. The Office of Management
and Enterprise Services shall prescribe a form to be used by a
cabinet secretary and at least one copy of the approval shall be

1 retained by the agency providing the salary increase and one copy
2 shall be retained by the Office of Management and Enterprise
3 Services.

4 B. The maximum bonus amount that any state agency may provide
5 any state employee shall be ten percent (10%) of the base salary
6 amount in effect for the employee as of the original hire date for
7 the employee or as of the anniversary of such original hire date for
8 an employee with service in excess of one (1) fiscal year. The
9 Office of Management and Enterprise Services shall prescribe a form
10 to be used by executive branch agencies for the approval of a bonus
11 amount authorized by this subsection.

12 C. Each state agency shall establish, pursuant to permanent
13 administrative rules, a maximum authorized bonus amount for each
14 employee position within the agency and shall also establish metrics
15 or other performance measures with respect to each such employee
16 position or job category which shall either already be in effect as
17 of the date the bonus becomes effective or which shall take effect
18 not later than thirty (30) days after the employee is hired.

19 D. Salary adjustments for all employees performing services for
20 an executive branch agency in excess of ten percent (10%) may be
21 authorized as a result of performance reviews, a change in job
22 duties or titles or based on substantial modification of existing
23 duties and responsibilities which shall be documented by the agency
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1 using a form prescribed for such purpose by the Office of Management
2 and Enterprise Services.

3 E. The provisions of subsection A and subsection B of this
4 section shall not be applicable to the executive director or other
5 chief executive officers of an agency. Such positions shall be
6 subject to rules established by the agency on pay, bonuses and
7 raises pursuant to subsection C of this section.

8 F. The provisions of subsection A and subsection B of this
9 section shall not be applicable to job positions or categories
10 requiring advanced degrees or licensing or accreditation including,
11 but not limited to, medical doctors, certified public accountants,
12 and professional engineers. Such positions shall not be subject to
13 the provisions of subsection A or subsection B of this section.
14 Such positions shall be subject to rules established by their
15 employing agency on pay, bonus and raises pursuant to subsection C
16 of this section.

17 G. The provisions of subsection A and subsection B of this
18 section shall not be applicable to wholly non-appropriated state
19 agencies or their employees. Wholly non-appropriated state agencies
20 shall not be subject to the rulemaking provisions of this section.
21 Such agencies shall remain subject to the pay movement mechanisms
22 listed in subsection B of Section 840-2.17 of Title 74 of the
23 Oklahoma Statutes. Salary increases or bonuses exceeding ten
24 percent (10%) received by any employee of an agency governed by this

1 subsection shall be documented by the agency on a form prescribed
2 for such purpose by the Office of Management and Enterprise
3 Services. At least one copy shall be retained by the agency
4 providing the salary increase or bonus and one copy shall be
5 retained by the Office of Management and Enterprise Services.

6 H. The provisions of subsection A and subsection B of this
7 section shall not be applicable to the employees of institutions
8 within The Oklahoma State System of Higher Education, employees of
9 any career technology district or to employees of any common school
10 district. The provisions of subsection A and subsection B of this
11 section shall be applicable to employees of the Oklahoma State
12 Regents for Higher Education.

13 SECTION 2. This act shall become effective July 1, 2026.

14 SECTION 3. It being immediately necessary for the preservation
15 of the public peace, health or safety, an emergency is hereby
16 declared to exist, by reason whereof this act shall take effect and
17 be in full force from and after its passage and approval.

1 Passed the House of Representatives the 10th day of March, 2026.

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4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the _____ day of _____, 2026.

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9 Presiding Officer of the Senate